

Documents required for a business loan: build a lender-ready file

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A business loan file brings together borrower identity, financial records, the use of funds, repayment evidence, existing debt and contribution, and relevant security or site documents. The exact documents depend on the borrower, purpose, lender and proposed security. A new processing plant, replacement machine and seasonal working-capital limit will not need identical evidence. Begin with the lender's current checklist, then organise the file so each document supports a clear answer: who is borrowing, what the money will fund and how it will be repaid.

RBI's published MSME lending directions require banks to give borrowers an indicative document checklist when they apply. Treat the lender's list as the starting point for that application, with further information possible during appraisal. [RBI directions on lending to the MSME sector](#).

1. Identity and authority to borrow

Prepare the borrower's constitution documents, PAN, relevant business registrations and the identity/address information requested for the persons concerned. The exact set differs for a proprietor, partnership, LLP or company. Establish who can sign the application and borrowing documents, with the relevant authorisation where required.

Check that the name on financial statements, bank accounts, registrations and the application refers to the same borrower. If the operating business, property owner and proposed borrower are different entities, explain that relationship openly. Do not present group financials as if they belong to the applicant.

2. Financial history and the present position

An existing business should organise the financial statements, income-tax records, bank statements and tax returns for the periods requested by the lender. Add current provisional figures when the latest completed accounts no longer describe the operating position.

Explain material movements in sales, profit, receivables and debt. A falling bank balance may have a different explanation from a trading loss: stock may have increased, a customer may be paying late or funds may have been invested in machinery. Provide a reconciliation supported by records.

For a new business, distinguish projections from historical results. Do not invent a turnover history to make the file look more established. The lender may instead assess promoter resources, experience, orders, project feasibility and the proposed funding structure.

3. Purpose and project cost

Loan purpose	Useful evidence to discuss with the lender	What it helps establish
Machinery or equipment	Supplier quotation, technical specification, cost breakup and implementation schedule	What will be bought and when funds are needed
New facility or expansion	Project report, estimates, site records and applicable approval status	The full project and dependencies beyond the equipment
Working capital	Stock, debtors, creditors, order and cash-cycle information	How much cash is tied up in day-to-day operations
Refinance or top-up	Existing sanction letters, statements and proposed additional use	What debt changes and whether the new borrowing fits

Include the expenditure outside the requested loan. Freight, installation, site work, taxes, contingencies and working capital can affect total funding even when a lender treats them differently. State your assumptions and obtain the applicable treatment from the lender.

4. Repayment capacity

Show when the investment is expected to generate cash and how that cash supports repayments. Connect projected sales to capacity, customers, pricing and realistic utilisation. Explain the period between commissioning, invoicing and collection.

Illustrative example: a machine is commissioned in April, but customer payments arrive several weeks after dispatch. The first loan instalment may fall before the new sales have converted to cash. The plan needs to show how that gap is funded. This example illustrates cash timing, not an approved repayment schedule.

A useful sensitivity check asks what happens if commissioning is delayed, utilisation rises more slowly or collections take longer. The purpose is to make the borrowing decision more robust, not to produce a forecast that guarantees approval.

5. Existing debt, contribution and security

List existing loans, limits, repayment commitments and material guarantees requested in the lender's disclosure. Separate sanctioned limits from actual outstanding balances. Explain the source and availability of the promoter contribution.

If security is proposed, the lender will specify title, valuation and other requirements. If a collateral-free route is being considered, ask about its eligibility, primary security, guarantee arrangements, fees and appraisal. "Collateral-free" does not mean that financial or project documents are unnecessary. See [CGTMSE and collateral-free lending](#).

6. Site and approval evidence

An industrial project may depend on permissions associated with land use, the building, environment or its activity. Prepare a status table identifying each applicable requirement, its authority, evidence held and next step. Mark an application as submitted only when there is an acknowledgement, and a permission as granted only when the decision exists.

A lender's willingness to appraise a proposal does not establish that the site can lawfully support the planned use. Our [Haryana CLU guide](#) explains the land-use preparation boundary.

Reconcile the file before sending it

Use a single document index. Record the covered period and date for each statement. Check that project cost, loan requirement and promoter contribution agree across the application, project report and financial model. Explain genuine differences between GST, accounts and banking figures instead of hiding them.

Keep original files and submitted copies separately. Share sensitive records through the channel agreed with the lender or adviser. Never hand over account passwords or signing credentials merely because someone is helping assemble an application.

After submission, maintain the evidence trail

Save the acknowledgement, query list, replies and revised calculations. Record the purpose of each revision. If the lender issues a sanction, review its conditions, pricing, fees, security and disbursement requirements before treating funds as available.

Submission, sanction and disbursement are different stages. Some conditions can require further documents or actions before payment. A strong initial file reduces avoidable uncertainty, but it does not replace the lender's credit decision.

Common questions

Is there one minimum document list for every business loan?

No. Borrower type, product, amount and lender policy matter. This guide organises preparation; the lender confirms the required documents and periods.

Can a new business apply without past business accounts?

A new business should use a product that accommodates its stage and provide the evidence that lender requires. Missing trading history should be stated accurately, with projections and promoter information clearly distinguished.

Does an expected subsidy count as my contribution?

Do not assume so. Scheme treatment, sanction status, release timing and lender acceptance must be checked. Build the funding plan with the [seven subsidy application checks](#).

Prepare the finance discussion around the investment

Choose [Project Finance Services](#), [Equipment Loan Services](#) or [Working Capital Finance](#) according to the requirement. Share the purpose, investment stage and records you already have. [Discuss your project](#) and an expert consultant from Rapid will call you.

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Source links

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1. RBI directions on lending to the MSME sector

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